IN THE NATIONAL COMPANY LAW TRIBUNAL

KOLKATA BENCH

KOLKATA

C.P. (CAA) NO.101/KB/2018

Connected with

C.A. (CAA) NO.122/KB/2017

In the matter of:

The Companies Act, 2013 – section 230(6) read with section 232(3).

And

In the matter of:

DHRUVA HOLDINGS PRIVATE LIMITED (CIN U65993WB1984PTC038256), a Company incorporated under the Companies Act, 1956, having its Registered Office at 19, British India Street, Kolkata-700069, West Bengal within the aforesaid jurisdiction and having;

….. Transferor No. 1 / Petitioner Company

And

In the matter of:

DKM INVESTMENT AND TRADING PRIVATE LIMITED (CIN U65993WB1984PTC038065), a Company incorporated under the Companies Act, 1956, having its Registered Office at 19, British India Street, Kolkata-700069, West Bengal within the aforesaid jurisdiction and having;

….. Transferor No. 2/ Petitioner Company

And

In the matter of:

DHAMM STEEL SERVICES PRIVATE LIMITED (CIN U70100WB2007PTC120992), a company incorporated under the Companies Act, 1956, having its registered at Onlooker Building, 1st Floor, Room No.7 & 8, Sir P.M. Road, Fort, Mumbai-400001, Maharashtra.

....Transferee Company

In the matter of:

1. **DHRUVA HOLDINGS PRIVATE LIMITED**
2. **DKM INVESTMENT AND TRADING PRIVATE LIMITED**

...Petitioner Companies

Date of Hearing - 25.11.2021

Date of pronouncement the order – 20.12.2021

Coram:

Shri Rajasekhar V.K. : Member (Judicial)

Shri Balraj Joshi : Member (Technical)

Counsel on Record for the Petitioners:

1. Mr. Sushil Kumar Khemka , FCS
2. Mr. Harihara Sahoo, Joint Director, Regional Director, Eastern Region, Ministry of Corporate Affairs, Kolkata.

ORDER

Per Rajasekhar V.K., Member (Judicial)

1. The instant petition has been filed under section 230(6) read with Section 232(3) of the Companies Act, 2013 ("**Act**") for sanction of the Scheme of Amalgamation of **DHRUVA HOLDINGS PRIVATE LIMITED (DHPL)**, ("Transferor Company 1/ Petitioner Company") and **DKM INVESTMENT AND TRADING PRIVATE LIMITED (ITPL)**, ("Transferor Company 2/ Petitioner Company") with **DHAMM STEEL SERVICES PRIVATE LIMITED (DSSPL**), ("Transferee Company/ Petitioner Company"), whereby and whereunder the Transferor Companies are proposed to be amalgamated with the Transferee Company from the Appointed Date, viz., 28.09.2016 in the manner and on the terms and conditions stated in the said Scheme of Amalgamation ("**Scheme**").

2. The Petition has now come up for final hearing. Counsel for the Applicants submits as follows:-

   (a) The Scheme was approved unanimously by the respective Board of Directors of the Petitioner Companies i.e, Transferee Company, Transferor Companies at their meetings held on 28.09.2016 respectively.

   (b) The circumstances which justify and/or have necessitated the Scheme and the benefits of the same are, inter alia, as follows:-

      (i) DSSPL (Transferee Company) is engaged in the business of importers, exporters etc. in steel ingots, steel coils, steel plates etc. as stated in its Memorandum of Association of the Company. DHPL (Transferor Company 1) is engaged in the business of Investment Company and to invest in land, buildings etc. as stated in its Memorandum of Association and ITPL (Transferor Company 2) is engaged in the business of

Investment Company and to invest in land, buildings etc. as stated in its Memorandum of Association. Therefore, the amalgamation of Transferor Companies with the Transferee Company, will combine synergies and enable the amalgamated company to focus on its core business and other connected business.

(ii) DSSPL (Transferee Company), DHPL (Transferor Company 1) and ITPL (Transferor Company 2) are closely held company being identical set of shareholders and under similar management group. Therefore, the amalgamation of Transferor Companies with the Transferee Company will combine synergies and enable the amalgamated company to focus on its business. Further by the proposed Scheme of Amalgamation the shareholdings of the Transferee Company will be simplified and financial resources of all the companies will be conveniently merged and pooled together leading to a more effective and centralized management and reduction of administrative and manpower expenses, overheads and multiple record keeping, thus resulting in cost savings;

(iii) The proposed merger will also result in the larger pool of various resources as well as manpower and will create a synergy, which will enable the Transferee Company to grow and prosper at a faster pace;

(iv) The proposed scheme will lead to the benefits of Operating and Financial Synergies. The financial, managerial, technical resources, and personnel's capabilities, skills, expertise etc. of Transferor Companies, pooled in the Transferee Company, will lead to increase in the size, competitive strength, cost reduction and efficiencies, productivity, and logistic advantages, thereby will enhance the credit worthiness, contribute to the future growth and better cash flow management.

(v) The proposed scheme will result in reduction in overheads and other expenses, reduction in administrative and procedural work, eliminate duplication of work, better and more productive utilization of various resources and will enable the undertakings concerned to affect internal economies and optimize productivity. The proposed scheme will optimize legal entity structure by eliminating crossholding and reducing the number of legal entities thereby further rationalizes management and administrative structure which will help in more efficient management.

(vi) The proposed Scheme will contribute in furthering and fulfilling the objects of the company concerned and enabling the optimum growth and development of their combined business.

(vii) The proposed scheme will optimize/simplify legal corporate structure by eliminating crossholding, reducing the number of legal entities and reorganizing the legal entities in the group structure.

(viii) The proposed Scheme will thus have beneficial results for all the companies and will lead to significant reduction in the multiplicity of legal and regulatory compliances required at present to be carried out.

(c) The Statutory Auditors of the, Transferee Company, have by their certificates dated 29.09.2016 confirmed that the accounting treatment in the Scheme is in conformity with the accounting standards prescribed under Section 133 of the Companies Act, 2013.

(d) No proceedings are pending under Sections 210 to 227 of the Companies Act, 2013 against the Petitioner(s).

(e) The exchange ratio of shares in consideration of the Amalgamation has been fixed on a fair and reasonable basis and on the basis of the Report thereon of M/s. G. R. Modi & Co., Chartered Accountants, Mumbai.

(f) The shares of the Petitioner Companies are not listed on the any stock exchanges.

(g) By an Order dated 04.09.2017 in Company Application No. CA(CAA) NO. 122/KB/2017, this Tribunal made the following directions with regard to meeting(s) of shareholders and creditors under Section 230(1) read with Section 232(1) of the Act:-

a. Meeting of the members and creditors of both the transferor companies are dispensed with subject to strict compliance of the conditions laid down herein.

b. Both the transferor companies shall file their respective list of creditors as on the date of the passing of the Order with the Registry within a fortnight from the date of the Order. All the creditors must file their consents by way of affidavit as per provision laid down u/s 230(9) of the Companies Act, 2013.

c. Both the transferor companies to serve the notice upon Regional Director – Eastern Region (Ministry of Corporate Affairs), Registrar of Companies – West Bengal, Income Tax Authority within whose jurisdiction the assessments of the Applicant Companies are made and the Official Liquidator, pursuant to Section 230(5) of the Companies Act, 2013 read with Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 with suitable changes in the notice relating to waiver of meetings. If no response is received by the Tribunal from the above authorities with 30 days of the date of the receipt of the notice it will

be presumed that such authorise have no objection to the proposed Scheme as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

d. Both the transferor companies shall affirm by way of affidavit that no investigation or proceedings under the Companies Act, 1956 or Companies Act, 2013 have been instituted or pending in relation to the amalgamating and amalgamated companies.

e. If the consent affidavits/ letters of the members annexed with the application are found to be false / dubious, at any stage then necessary action for committing fraud under Section 447 and 448 of the Companies Act, 2013 shall be initiated against all applicant companies and all its directors for punishment under Section 449 of the Companies Act, 2013.

(h) Consequently, the Petitioner(s) presented the instant petition for sanction of the Scheme.

(i) All statutory formalities requisite for obtaining sanction of the Scheme have been duly complied with by the Petitioners. The Scheme has been made bona fide and is in the interest of all concerned.

3. Pursuant to the said advertisements and notices, the Regional Director, Ministry of Corporate Affairs, Kolkata ("**RD**") and Official Liquidator, High Court at Calcutta have filed their representations before this Tribunal. The Official Liquidator has filed his report dated 06.02.2020 and concluded as under:-

(a) No complaint against the proposed Scheme of Amalgamation from any person/party interested in the Scheme in any manner till the date of filing of this Report has been received by the Official Liquidator.

(b) On the basis of information submitted by the petitioner companies is of the view that affairs of the aforesaid Transferor Companies do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest as per the provisions of the Companies Act,1956/Companies Act,2913 whichever is applicable.

5. The Regional Director has filed his Supplememtar affidavit dated 11.12.2019 ("**RD affidavit**") which has been dealt with by the Petitioner(s) by their Rejoinder affidavit dated 23.10.2021 ("**Rejoinder"**). Few points raised by the office of the RD and responses of the Petitioner(s) are summarized as under:-

(a) Paragraph 2(a) of RD Affidavit

Prosecution is pending against the Transferor Companies and the same has been launched by ROC, West Bengal

Paragraph 2(a) of Rejoinder

The prosecution launched against the Transferor Companies by ROC, West Bengal stand disposed of and an initimation to this affect has been given to the ROC, West Bengal, by online and physical mode. Communication to this regard has also been served to the RD (East), MCA *vide* email dated 14.10.2021.

(b) Paragraph 2(b) of RD Affidavit

The Scheme is not clearly worded to ascertain complaince with the provisions of section 232(3)(i) of the Companies Act, 2013 and it does not clearly provides that why no fee shall be paid for clubbing of the authorized capital of the Transferor Companies with that of the Transferee company. The applicant company should submit a verified statement showing clubbing of authorized capital and the extent of adjustment of fee already paid by the Transferor Companiess on their respective authorized capital, to

ascertain whether any further fee is payable in terms of the provisions of section 232(3)(i) of the Companies Act, 2013

Paragraph 2(b) of Rejoinder

The Authorised Capital of both the Transferor Companies to the Transferee Company, the Transferee Company need not require to increase its authorised capital for making allotment of shares to the shareholders of the Transferor Companies pursuant to this scheme. Further, post merger the necessary fees, if required, will be paid for the increase of the authorised capital, before allitment of the shares in compliance with the provision of the Act.

6. The Regional Director has also filed his **Supplementary Affidavit** dated 24.11.2021

(a) Paragraph 2(a) of Supplementary Affidavit by RD

The prosecution launched against both the Transferor Companies i.e., M/s. Dhruva Holdings Private Limited and M/s. DKM Investment and Trading Private Limited by the Registrar of Compnies, West Bengal stand disposed of or withdrawn**.** Further both the Transferor Companies has filed Annual Returns and Financial Statements upto the Fiancial year 31.03.2020.

7. Heard submissions made by the Ld Counsel appearing for the Petitioners and the Regional Director, Eastern Region, Ministry of Corporate Affairs, Kolkata. Upon perusing the records and documents in the instant proceedings and considering the submissions, we allow the petition and make the following orders:-

(a) That the Scheme of Amalgamation as annexed in Annexure A-1, hereto, is hereby sanctioned by the Tribunal to be binding with effect from 28.09.2016 ("**Appointed Date"**) on **DHPL** (Transferor Company 1) and **ITPL** (Transferor Company 2) and their shareholders and all concerned;

(b) All the properties, rights and powers of Transferor Companies, including those described in the Schedule of Assets herein, be transferred from the appointed

date, without further act or deed, to the Transferee Company, and accordingly the same shall pursuant to Section 232 (4) of the Companies Act, 2013 be transferred to and vest in the Transferee Company for all the estate and interest of the Transferor Companies but subject nevertheless to all charges, now affecting the same, as provided in the Scheme;

(c) All the debts, liabilities, duties and obligations of Transferor Companies be transferred without further act or deed to Transferee Company and, accordingly the same shall pursuant to section 232(4) of the Companies Act, 2013, be transferred to and become the the debts, liabilities, duties and obligations of the Transferee Company;

(d) All the proceedings and/or suit appeals now pending by or against Transferor Companies shall be continued by or against the Transferee Company;

(e) The Transferee Company do without further application issue and allot shares to the shareholders of Transferor Companies, the shares in the Transferee Company to which they are entitled in terms of the Scheme;

(f) Leave is granted to the Petitioner(s) to file the Schedule of Assets of the Transferor Company in the form as precribed in the Schedule to Form No. CAA7 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 within three weeks from the date of receiving a copy of this order;

(g) The Transferor Companies and the Transferee Company shall each within thirty days of the date of the receipt of this order, cause a certified copy therof to be deliverd to the Registrar of Companies for registrarion and on such certified copies so delivered, the Transferor Companies shall be dissolved without winding up from the effective date.

(h) The employees of the Transferor Company shall be engaged by the Transferee Company, as provided in the Scheme;

(i) Such amalgamation shall also be subject to sanction of the Scheme by the NCLT, Mumbai Bench, in respect of the Transferee Company, over which it exercises jurisdiction.

9. The Petitioner(s) shall supply legible print out of the scheme and schedule of assets in acceptable form to the Registry and the Registry will append such printout, after verification to the certified copy of the order.

10. Company Petition (CAA) No. 101/KB/2018 connected with Company Application No. 122/KB/2017 is disposed of accordingly.

11. Urgent certified copy of this order, if applied or, be supplied to the parties, subject to compliance with all requisite formalities.

Balraj Joshi
Member (Technical)

Rajasekhar V.K.
Member (Judicial)

Order dated December 20, 2021

SA, LRA